

ITC: BUILDING A COMPETITIVE, FUTURE TECH, CLIMATE POSITIVE AND INCLUSIVE ENTERPRISE

111th Annual General Meeting, ITC Limited, July 20, 2022

ADDRESS BY CHAIRMAN & MANAGING DIRECTOR, MR SANJIV PURI

Enduring Value

We meet today as the world traverses a very challenging journey. While it is heartening that India has responded to the pandemic with admirable resilience, global risks have got accentuated with geo-political tensions and severe economic stress caused by untamed inflation and supply-side disruptions. Worsening food and energy security, together with the growing inequities world-wide, poses new threats to society. Amidst all this, the stark sustainability challenges continue unabated, with climate change becoming an existential threat, and livelihood generation a daunting task.

Yet, never before has so much transformation taken place in such less time. A tectonic shift is being driven by an exponential pace of digital adoption and futuristic innovation. The way people collaborate, work and engage has got profoundly redefined. The emerging geo-economic realities, the need to find newer ways to build resilience and adaptation; adoption of green technologies, mobility and infrastructure; redefined supply chains as well as rapid digital advancements will drive unprecedented change in the years to come.

> **"The Prime Minister's visionary Gati Shakti scheme to redefine infrastructural development, the Digital India initiative, as well as the Finance Minister's announcements in the last Budget to enhance public expenditure to crowd in private investments, targeted initiatives to support the agri sector and FPOs are indeed farsighted measures to usher in a new paradigm of socio-economic progress."**

In such a volatile global environment, it is heartening that India demonstrated admirable resilience and achieved robust recovery driven by the Government's proactive policy measures. Notwithstanding the global headwinds, the promise of the India story is still intact and the economy is poised to remain one of the fastest growing in the world. It is indeed commendable that the Government, while astutely addressing the near-term challenges, has continued to focus on pathbreaking reforms and policy interventions to enhance competitiveness of the economy. The Prime Minister's visionary Gati Shakti scheme to redefine infrastructural development, the Digital India initiative, as well as the Finance Minister's announcements in the last Budget to enhance public expenditure to crowd in private investments, targeted initiatives to support the agri sector and FPOs are indeed farsighted measures to usher in a new paradigm of socio-economic progress. In addition, the PLI scheme aimed at fostering manufacturing investments and the proactive steps to encourage startups have unleashed entrepreneurial spirits to build a New India.

While there are near-term challenges, your Company is optimistic about the prospects of the Indian economy. ITC's future-ready and purpose-driven Businesses and Brands are well poised to seize the emerging opportunities and make a meaningful contribution to national priorities.

BUILDING COMPETITIVENESS WITH ROBUST TRIPLE BOTTOM LINE PERFORMANCE

Your Company's pursuit of 'Responsible Capitalism' has inspired our vision to build an extremely competitive enterprise that contributes in equal measure to people, planet and profit. This abiding vision is embedded in ITC's credo of 'Nation First: *Sab Saath Badhein*'. Over the years, innovative business models have been crafted and focussed investments made to build strategic national assets in the true spirit of *Atmanirbhar Bharat*. These vibrant assets anchor inclusive value chains, enable import substitution, enrich environmental capital and support large-scale livelihoods whilst also creating unique sources of competitive advantage. They are manifest in the state-of-the-art integrated manufacturing facilities established across the country; in thousands of MSMEs we engage with & hundreds of production facilities that support local entrepreneurship; in iconic hospitality properties that enhance the country's tourism landscape; in cutting-edge intellectual property assets and in the empowerment of farmers, local communities and partners who are the lifeline of the economy. The opportunities arising out of India's growth story have also encouraged us to invest in 5 new manufacturing facilities that will be commissioned in the near term in areas such as agri & food processing, as well as packaging, among others. These assets are deeply aligned to the country's 'Make in India' and 'Digital India' vision as well as to the endeavours to 'Double Farmers' Income'.

Your Company has, in recent years, put in place an extensive strategy reset to architect structural drivers to shape the next horizon of growth and competitiveness with sharp focus on agility, innovative capacity, digital transformation, structural cost optimisation, sustainability and empowered talent to create enduring value for all our stakeholders.

It is indeed heartening that, notwithstanding the near-term challenges, your Company continues to deliver robust growth across all business segments, though inflation remains a key monitorable. As valued shareholders, you will also take pride that ITC achieved several milestones in its sustainability journey with global distinctions in climate action, enhanced capacity in green infrastructure and new dimensions in inclusive growth.